

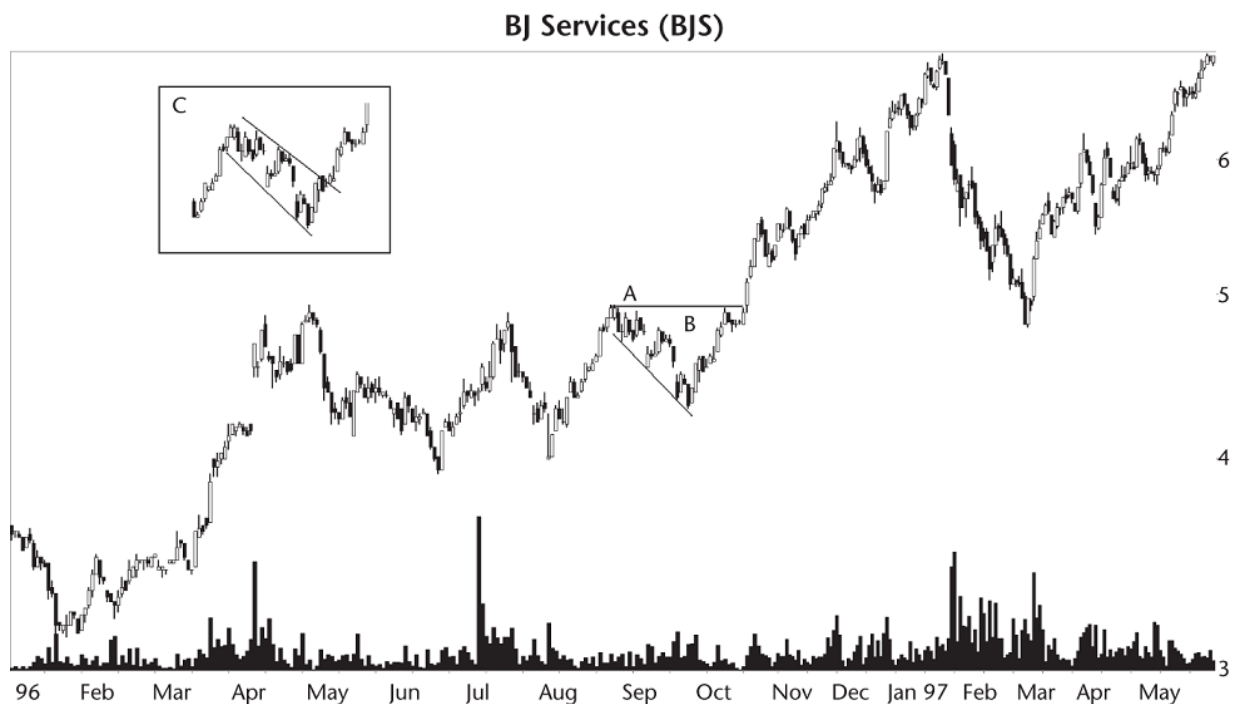


Figure 10.4 AB is not a descending broadening formation.

Volume. Volume tends to rise over the length of the chart pattern, sometimes following the price movement.

Support and resistance. The pattern's trendlines, when extended into the future, can sometimes act as areas of support or resistance. [Figures 10.1](#), [10.3](#), and [10.7](#) show examples. Sometimes the support or resistance level is active for months or even years.

Focus on Failures

Since descending broadening formations can break out either up or down, I show both views of failed breakouts. The first one, [Figure 10.5](#), is characterized by the telltale partial decline in late November. From there, the stock climbs and eventually pierces the top trendline, as predicted.

Once price closes above the trendline, you would expect it to throw back to the formation top and resume the upward trend. In this situation, price reverses at 45 and returns to the formation proper—a classic throwback. Unfortunately, instead of rebounding and heading higher like a typical throwback, the stock continues down. It does more work inside the chart pattern before shooting out the other side in a straight-line run.